

China's chip approval eases US ties ahead of summit

送信者: EG Daily Brief 受信日時: 2026-08-20 21:16

【メール原文】

China's approval of limited Nvidia H200 chip sales signals a thaw in US ties ahead of a September leaders' summit. The UAE's decision to suspend trade|||||||

Daily Brief

[Customize Email Preferences](#)

China's chip approval eases US ties ahead of summit

20 Aug 2026 08:09 EDT [Discover more on the Portal](#)

summary

*

China's approval of limited Nvidia H200 chip sales signals a thaw in US ties ahead of a September leaders' summit.

*

The UAE's decision to suspend trade with Iran raises the risk that Iran expands from shipping attacks to territory strikes.

*

The Democratic Party's reshuffled 2028 primary calendar makes Michigan and Virginia the defining races.

*

In France and Vietnam, equity market performance has diverged from our assessments of political trajectories.

*

Regions, countries, and sectors covered in this edition include the US, Brazil, China, France, Iran, Vietnam, the UAE, Ukraine, geoeconomics, geo-technology, and sustainability.

the top line

Geo-technology, China, US—Nvidia H200 sales will smooth Trump-Xi summit but invite longer-term scrutiny

*

Beijing approved limited purchases of Nvidia H200 chips by major Chinese AI platforms under US export licenses; the move signals a calibrated thaw ahead of a September leaders' summit.

*

China balances stability with industrial policy by easing the compute chokepoint yet capping volumes; Nvidia's lobbying and Beijing's desire for leverage on newer chips shape the compromise.

*

White House control over policymaking likely limits the space for a significant expansion of controls, and a hawkish turn in tech export restrictions remains a tail risk; the H200 development will likely invite additional scrutiny if Democrats take control of at least one chamber of Congress next year.

*

Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

MENA Crisis—Iran, UAE detente falters, raising risk of attacks on Emirates

*

The United Arab Emirates suspended trade with Iran after accusing Tehran of launching two ballistic missiles; the rupture raises the risk that Iran expands from shipping attacks to territorial strikes.

*

Abu Dhabi still holds credible defenses, but it now faces higher costs for serving as a shuttle-trade hub moving crude from the Persian Gulf.

*

US pressure likely influenced the UAE decision as President Donald Trump is also leveraging more direct pressure on other regional players to isolate Iran, threatening to bomb Oman if it conceded too much in its negotiations with Tehran.

*

The economic effect of the Emirati announcement on Iran remains unclear since much of the business between the Persian Gulf neighbors flows through informal channels.

*

Read more here . Reach out to discuss: mena@eurasiagroup.net .

US—Michigan and Virginia will be defining races of 2028 Democratic primary

*

The Democratic Party's reshuffled 2028 primary calendar, anchored by South Carolina at the start and Michigan and Virginia just before Super Tuesday, creates a voting sequence with no clear historical precedent.

*

South Carolina will play an important role in winnowing the field, as candidates will need either strong appeal among Black voters or a clear shot at later-primary states to advance past the opening contest.

*

Michigan and Virginia are likely to be decisive—a sweep by one candidate will very likely secure the nomination, while a split could set up a final contest between the two leading candidates on Super Tuesday.

*

Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

France, Vietnam—Chart of the day: Equity performance has diverged from political trajectories

*

While divergences between political trajectories and markets frequently occur, often due to economic developments, they can be a good opportunity for investor clients to review their exposures and hedging strategies.

*

In both France and Vietnam, equity investors appear to be responding primarily to factors outside the political environment. Our country analysts assign France one of the most negative scores for political risk to the business environment ahead of the 2027 election. Even so, stock prices have risen, supported by strong global markets and a weaker US dollar. In recent days, that gap has reached historically unusual extremes.

*

Vietnam shows the opposite pattern: our political trajectory assessment sits between positive and neutral, while equities have fallen on concerns about supply overhang from the privatization of state-controlled assets. Here too, the divergence between our view of business-environment political risk and recent local asset performance is historically unusual.

*

See our Divergence Monitor [here](#) . Reach out to discuss: geoeconomics@eurasiagroup.net .

Brazil—Bolsonaro will seek fiscal credibility shock before delivering tax cuts

*

If elected, Senator Flavio Bolsonaro will front-load constitutional fiscal reform to signal commitment to unpopular measures early and give the central bank room to cut interest rates before moving more aggressively to tax relief.

*

Tax cuts are the plan's greatest liability, as the ambition to reopen the VAT debate risks creating a prolonged congressional impasse before consolidation is established.

*

The deeper risk is whether fiscal discipline survives midterm political pressure, the cost of maintaining a legislative majority, and institutional friction with the supreme court.

*

Read more [here](#) . Reach out to discuss: brazilresearch@eurasiagroup.net .

Ukraine—Elections before a ceasefire remain unlikely despite mounting pressure on Zelensky

*

Recently dismissed defense minister Mykhailo Fedorov called for elections; Fedorov is a plausible challenger, but he could still fade into the background as not only do other popular figures, including Kyrylo Budanov and Mykhailo Drapatyi, back Zelensky, but the coming winter will once again consolidate the public around the priority of survival.

*

Security, logistics, and martial-law constraints mean elections remain unlikely before a ceasefire.

*

New corruption allegations by the National Anti-Corruption Bureau of Ukraine targeting President Volodymyr Zelensky's circle will narrow his room to govern, as the wartime consensus that once gave the president broad latitude is eroding.

*

Read more [here](#) . Reach out to discuss: europa@eurasiagroup.net .

eg in depth

Iran, US, Geo-technology—US water sector will remain vulnerable to cyberattacks: US water utilities contained the impact of the recent Iranian cyberattacks, but the absence of binding federal cybersecurity standards and lapsing grant programs leave smaller systems structurally exposed to more damaging attacks. Washington is unlikely to close that gap: Trump's administration lacks a confirmed Cybersecurity and Infrastructure Security Agency (CISA) director, and several cybersecurity laws are set to expire. New York and New Jersey are leading a state-by-state push to fill the federal cybersecurity void, but inconsistent coverage will leave smaller utilities in less active states exposed. Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

Upcoming events:

*

21 August: Data: Eurozone, India, Japan, UK, and US manufacturing PMI, and Japan CPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

"Democracy cannot be held hostage by Russia"—Former Ukrainian defense minister Mykhailo Fedorov said on 18 August, calling for wartime elections.

EG Daily Brief

DailyBrief@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmt1g914d25zr07lpkckcs6ow

Opt Out | Customize Email Preferences